

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Classification of Revenues - The University has classified its revenues as either operating or nonoperating revenues according to the following criteria:

Operating revenues: Operating revenues generally result from exchange transactions to provide goods or services related to the University's principal ongoing operations.

These revenues include:

- (1) student tuition and fees received in exchange for providing educational services, housing, and other related services to students;
- (2) receipts for scholarships where the governmental agency has identified the qualified student recipients;
- (3) fees received from organizations and individuals in exchange for miscellaneous goods and services provided by the University;
- (4) contracts that are essentially the same as contracts for services that finance programs the University would not otherwise undertake; and
- (5) payment by grants from governmental and non-governmental entities for the purpose of conducting research activities.

Nonoperating revenues: Nonoperating revenues include activities that have the characteristics of nonexchange transactions. These revenues include gifts and contributions, appropriations, investment income, Pell grants, and any other grants and contracts that are not classified as operating revenue or restricted by the grantor to be used exclusively for capital purposes.

Scholarship Discounts and Allowances - Student tuition and fee revenues, and certain other revenues from students, are reported with related scholarship discounts and allowances in the statement of revenues, expenses and changes in net position. Scholarship discounts and allowances are the difference between the stated charge for goods and services provided by the University, and the amount that is paid by students and/or third parties making payments on the students' behalf.

Rebatable Arbitrage - Arbitrage involves the investment of proceeds from the sale of tax-exempt securities in a taxable investment that yields a higher rate of return, resulting in income in excess of interest costs. Federal law requires entities to rebate to the government such income on tax-exempt debt if the yield from these earnings exceeds the effective yield on the related tax-exempt debt issued.

Governmental units that issue no more than \$5 million in total of all such debt in a calendar year are exempt from the rebate requirements. For this purpose, tax-exempt indebtedness includes bonds and certain capital leases and installment purchases. Rebates are payable every five years or at maturity of the debt, whichever is earlier. However, the potential liability is calculated annually for financial reporting purposes. The University had no rebatable arbitrage liability at June 30, 2024.

Donor-Restricted Endowments - Endowments are subject to restrictions requiring that the principal be invested and that only the income be used for specific purposes. If a donor has not provided specific timing instructions, state law permits the Board of Trustees to authorize for expenditure the endowment's net appreciation. Any net appreciation that is spent is required to be spent for the purpose for which the endowment was established. The University has a total return policy for authorizing and spending endowment income.

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NOTE 2 - CASH AND CASH EQUIVALENTS, OTHER DEPOSITS, AND INVESTMENTS

Most deposits and investments of the University are under the control of the State Treasurer who, by law, has sole authority for investing State funds. Certain deposits and investments are deposited with or managed by financial institutions and brokers as restricted by donors.

The following schedule reconciles deposits and investments within the notes to the statement of net position amounts:

Statement of Net Position

Cash and cash equivalents (current)	<u>\$ 1,110,538,184</u>
Restricted cash and cash equivalents (current) for:	
Debt service	10,471,996
Scholarship, research, instruction, and other	84,846,186
University administered loans	113,771
Capital projects	<u>420,792,303</u>
	<u>516,224,256</u>
Restricted cash and cash equivalents (noncurrent) for:	
Endowments	85,095,634
Federal student loans	1,529,780
Debt service reserves	<u>1,439,719</u>
	<u>88,065,133</u>
Investments (noncurrent)	<u>4,957,294</u>
Total	<u>\$ 1,719,784,867</u>

Disclosure, Deposits and Investments

Cash on hand	\$ 147,088
Deposits held by State Treasurer	1,714,680,485
Investments held by State Treasurer	3,606,349
Other investments	<u>1,350,945</u>
Total	<u>\$ 1,719,784,867</u>

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NOTE 2 - CASH AND CASH EQUIVALENTS, OTHER DEPOSITS, AND INVESTMENTS, Continued

Deposits Held by State Treasurer - State law requires full collateralization of all State Treasurer bank balances. The State Treasurer must correct any deficiencies in collateral within seven days. Information pertaining to the reported amounts, fair values, and credit risk of the State Treasurer's deposits is disclosed in the Annual Comprehensive Financial Report of the State of South Carolina.

With respect to the investments in the State's internal cash management pool, all of the State Treasurer's investments are insured or registered or are investments for which the securities are held by the State or its agents in the State's name. Information pertaining to the reported amounts, fair values, and the credit risk of the State Treasurer's investments is disclosed in the Annual Comprehensive Financial Report of the State of South Carolina. For the fiscal year ending June 30, 2024, of the \$1,714,680,485 identified in the preceding schedule as "Deposits held by State Treasurer", \$22,928,159 is attributable to unrealized loss.

Other Deposits - The University's other deposits at year-end were entirely covered by federal depository insurance or were fully collateralized by securities held by the pledging bank's trust department.

Investments Held by State Treasurer - The University's investments include common stock held by the State Treasurer for the University. The investment assets held in the State's cash management pool are all Level 2 assets as defined below.

Other Investments - The University has other investments which are managed by financial institutions or brokers as specified by the donors. Purchased investments are valued at fair value. Investments received from donors are valued at the lesser of their fair value on the date promised or received or fair value as of fiscal year-end.

The University has adopted applicable accounting standards for its financial assets and liabilities which clarify that fair value is an exit price, representing the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The University utilizes market data or assumptions that market participants would use in pricing the asset or liability. The standards establish a three tier fair value hierarchy, which prioritizes the inputs used in measuring fair value.

The University's investments measured and reported at fair value are classified according to the following hierarchy:

Level 1: Investments reflect prices quoted in active markets for identical assets.

Level 2: Investments reflect prices that are based on similar significant observable assets either directly or indirectly, which may include quoted prices for similar assets in active markets, quoted prices for identical or similar assets in inactive markets, or model-driven valuations.

Level 3: Investments reflect prices based upon significant unobservable inputs about which little or no market data exists, therefore requiring an entity to develop its own assumptions.

The University's other investments consist of \$1,247,159 Level 1 assets and \$103,786 Level 3 assets.

Custodial credit risk is the risk that in the event of a failure of the counterparty to a transaction, the University will not be able to recover the value of the investments or collateral securities that are in possession of an outside party.

The University does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Other investments totaling \$1,350,945 were collateralized by securities held by the pledging bank's trust department but not in the University's name.

The net change in unrealized depreciation of investments for the current fiscal year was \$440,846.

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NOTE 3 - RECEIVABLES

Accounts Receivable – Accounts receivable consisted of the following:

Current

Student	\$ 14,774,730
Auxiliary enterprises	5,481,222
Federal grants and contracts	33,370,558
State grants and contracts	10,484,197
Local grants and contracts	427,889
Non-governmental grants and contracts	4,758,008
State capital appropriations	27,219,851
Leases	1,370,738
Public private partnership	4,234,846
Accrued interest	7,440,091
	109,562,130
Less allowance for doubtful accounts	(1,870,854)
Current accounts receivable, net	<u>\$ 107,691,276</u>

Noncurrent

State capital appropriations	\$ 10,944,000
Leases	53,189,252
Public private partnership	23,864,353
Noncurrent accounts receivable	<u>\$ 87,997,605</u>

State capital appropriations receivable represent outstanding Capital Reserve funds that have been appropriated but not yet drawn. The State has authorized these funds for improvements and expansion of state facilities. The University is not obligated to repay these funds to the State.

Leases receivable represent the present value of expected payments over the term of the leases. See Note 8 for additional information.

Public private partnership (PPP) receivables include amounts related to PPPs for food services and bookstore operations identified and accounted for as prescribed under GASB Statement No. 94. See Note 8 for additional information.

Allowance for doubtful accounts is based upon actual losses experienced in prior years and evaluation of the current accounts.

Student Loans Receivable and Federal Loan Liability - Student loans made through the Federal Perkins and the Federal Nursing and Health Professions loan programs comprise substantially all of the student loans receivable, and are restricted for such loans. The loan programs provide various repayment options: students have the right to repay the loans over periods up to 10 years depending on the amount of the loan and loan cancellation privileges the student may exercise.

The Federal Perkins loans that are delinquent for 24 months are reassigned to the Department of Education and are no longer reported as University receivables and liabilities.

The amount reported as a federal loan liability is the amount of federal contributions and net earnings on the loans that would have to be repaid to the federal government if the University ceased to participate in the programs.

As the University determines that loans are uncollectible, the loans can be assigned to the federal agency administering the loan programs.

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NOTE 4 - CAPITAL ASSETS

	June 30, 2023	Additions	Reductions	Net Transfers	June 30, 2024
Capital assets not being depreciated					
Land	\$ 97,869,652	\$ 12,157,021	\$ -	\$ 2,899,342	\$ 112,926,015
Construction in progress	202,660,535	61,104,830	-	(228,154,948)	35,610,417
Works of art and historical treasures	55,555,148	587,341	-	-	56,142,489
Total capital assets not being depreciated	356,085,335	73,849,192	-	(225,255,606)	204,678,921
Other capital assets					
Land improvements	110,487,776	-	-	-	110,487,776
Buildings and improvements	2,043,902,919	28,871,913	-	225,255,606	2,298,030,438
Machinery, equipment and other	248,048,683	34,285,831	9,780,647	-	272,553,867
Vehicles	18,303,453	2,755,680	238,786	-	20,820,347
Intangibles	93,820,598	460,709	2,750,136	-	91,531,171
Leased land and improvements	686,445	14,215	-	-	700,660
Leased buildings and improvements	42,048,200	7,099,087	17,704,136	-	31,443,151
Leased machinery, equipment and other	363,846	459,993	53,173	-	770,666
Software Subscriptions	19,448,908	15,128,527	4,696,033	-	29,881,402
Total capital assets at historical cost	2,577,110,828	89,075,955	35,222,911	225,255,606	2,856,219,478
Less accumulated depreciation/amortization for:					
Land improvements	65,018,395	4,133,065	-	-	69,151,460
Buildings and improvements	989,663,241	71,662,268	-	-	1,061,325,509
Machinery, equipment and other	179,145,184	16,657,655	7,296,970	-	188,505,869
Vehicles	14,556,358	1,406,348	231,722	-	15,730,984
Intangibles	73,617,948	4,942,106	5,892	-	78,554,162
Leased land and improvements	303,586	152,015	-	-	455,601
Leased buildings and improvements	17,635,077	9,080,870	17,571,561	-	9,144,386
Leased machinery, equipment and other	214,106	281,903	24,941	-	471,068
Software Subscriptions	7,857,204	10,227,597	4,194,319	-	13,890,482
Total accumulated depreciation/amortization	1,348,011,099	118,543,827	29,325,405	-	1,437,229,521
Other capital assets, net	1,229,099,729	(29,467,872)	5,897,506	225,255,606	1,418,989,957
Capital assets, net	\$ 1,585,185,064	\$ 44,381,320	\$ 5,897,506	\$ -	\$ 1,623,668,878

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NOTE 5 - PENSION PLANS

The South Carolina Public Employee Benefit Authority (PEBA), which was created July 1, 2012, administers the various retirement systems and retirement programs managed by its Retirement Division. PEBA has an 11-member Board of Directors, appointed by the Governor and General Assembly leadership, which serves as co-trustee and co-fiduciary of the systems and the trust funds. By law, the State Fiscal Accountability Authority, which consists of five elected officials, also reviews certain PEBA Board decisions regarding the funding of the Systems and serves as a co-trustee of the Systems in conducting that review.

For purposes of measuring the net pension liability, deferred outflows and inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Systems and additions to/deductions from the Systems fiduciary net position have been determined on the accrual basis of accounting as they are reported by the Systems in accordance with generally accepted accounting principles (GAAP). For this purpose, revenues are recognized when earned and expenses are recognized when incurred. Benefit and refund expenses are recognized when due and payable in accordance with the terms of the plan. Investments are reported at fair value.

PEBA issues an Annual Comprehensive Financial Report containing financial statements and required supplementary information for the South Carolina Retirement Systems' Pension Trust Funds. The Annual Comprehensive Financial Report is publicly available through the Retirement Benefits' link on PEBA's website at www.peba.sc.gov, or a copy may be obtained by submitting a request to PEBA, 202 Arbor Lake Drive, Columbia, SC 29223. PEBA is considered a division of the primary government of the state of South Carolina and therefore, retirement trust fund financial information is also included in the annual comprehensive financial report of the State.

Plan Description

The South Carolina Retirement System (SCRS), a cost sharing multiple-employer defined benefit pension plan, was established effective July 1, 1945, pursuant to the provisions of Section 9-1-20 of the South Carolina Code of Laws for the purpose of providing retirement allowances and other benefits for employees of the state, its public school districts, and political subdivisions.

The State Optional Retirement Program (ORP) is a defined contribution plan that is offered as an alternative to SCRS to certain newly hired state, public school, and higher education employees. State ORP participants direct the investment of their funds into a plan administered by one of four investment providers.

The South Carolina Police Officers Retirement System (PORS), a cost-sharing multiple-employer defined benefit pension plan, was established effective July 1, 1962, pursuant to the provisions of Section 9-11-20 of the South Carolina Code of Laws for the purpose of providing retirement allowances and other benefits for police officers and firemen of the state and its political subdivisions.

Membership - Membership requirements are prescribed in Title 9 of the South Carolina Code of Laws. A brief summary of the requirements under each system is presented below.

SCRS – Generally, all employees of covered employers, such as the University, are required to participate in and contribute to the system as a condition of employment. This plan covers general employees and teachers and individuals newly elected to the South Carolina General Assembly beginning with the November 2012 general election. An employee member of the system with an effective date of membership prior to July 1, 2012 is a Class II member. An employee member of the system with an effective date of membership on or after July 1, 2012 is a Class III member.